



The Morning Brief

MAY 14, 2026

Beijing

Trump and Xi agree Hormuz must be open, the US approves Nvidia chip sales to Chinese firms, and Iran lets 30 Chinese vessels transit the Strait as the S&P extends to another record.

SPY \$742.31 ↑0.56%	BRENT CRUDE ~\$111 ↓1.8%	GOLD ~\$4,735 ↓0.6%	MRVL \$177.95 ↑8.18%	FEAR & GREED 34 · Fear
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SECTION 01

Markets

THE BEIJING SUMMIT IS RESHAPING THE AI INFRASTRUCTURE LANDSCAPE IN REAL TIME

Wednesday delivered another all-time high as the Trump-Xi summit in Beijing produced immediate, tangible results for the semiconductor supply chain. SPY closed at \$742.31 (+0.56%), with the S&P at approximately 7,423. The Nasdaq gained 1.06%. Tech (+0.94%) led sectors. The headline development: the US approved several Chinese firms, including Alibaba and Tencent, to purchase Nvidia's H200 AI chips, per Bloomberg. Jensen Huang joined Air Force One at a refueling stop in Alaska after Trump called him to join the delegation at the last minute, per CNBC. The approval reopens the largest AI chip market outside the US in principle, though Reuters reports that Beijing has separately urged Chinese firms to prioritize domestic chipmakers, and no shipments have been confirmed as of this writing. Xi told the assembled US CEOs—Musk, Cook, Fink, and leaders from Qualcomm, Goldman Sachs, Meta, Micron, and Coherent—that China would “open wider” to American business, per CNBC. Futures are up 0.2–0.3% in Thursday premarket as the market digests the implications.

MRVL +8.18% — AMD STAKE DISCLOSURE AND BOFA TARGET HIKE

Marvell Technology surged 8.18% to \$177.95 on Wednesday after AMD disclosed it owns 65,516 shares of the company through a 13F filing, per GuruFocus. BofA Securities analyst Vivek Arya simultaneously raised his price target on MRVL to \$200 from \$125, citing expanding AI networking demand through 2030. The AMD stake, while modest in dollar terms at approximately \$6.5 million as of Q1 end, signals a deepening partnership between the two companies in the AI infrastructure stack. MRVL is the portfolio's custom silicon play—its Celestial AI acquisition and 1.6T PAM DSP technology address the data center interconnect layer that sits between NVDA's GPUs and CRDO's connectivity silicon.

ADI gained 3.04%, NVDA added 2.29%, and FTNT rose 3.35%. On the downside, CRDO slipped 4.64% on profit-taking after its strong recent run, and CTRA declined 8.62% as Devon merger dynamics continued to weigh.

FEAR & GREED DROPPED TO 34 DESPITE ATH — THE DIVERGENCE IS INFORMATIVE

The most notable tension in Wednesday's data: the S&P hit a new all-time high while Fear & Greed slipped from 48 to 34—back into Fear territory. The divergence likely reflects narrow breadth: only five of eleven sectors closed positive on Wednesday, with financials (–1.14%), utilities (–1.15%), and real estate (–0.83%) lagging. The advance is increasingly tech-concentrated, which historically can sustain ATH prints but

is less durable without participation from cyclicals and value. UVXY rose 2.71% even as equities gained—another sign that options markets are pricing a wider distribution of outcomes than the headline index implies. DVY and IWS were likely negative while IUSG led, confirming the narrow leadership.

SPY	\$742.31 · ↑0.56% · Futures +0.2–0.3% Thu AM
TRUMP-XI SUMMIT	US approves NVDA H200 sales to Alibaba/ Tencent
MRVL	\$177.95 · ↑8.18% · AMD stake + BofA \$200 target
HORMUZ	30 Chinese vessels transited since Wed night
FEAR & GREED	34 · Dropped from 48 · Breadth narrowing
OIL	Brent ↓1.8% · WTI ↓1.6%

The Beijing summit produced in a single day what eleven weeks of war could not: a framework for Hormuz reopening that both the US and China endorse, and a pathway for AI chip sales that the export controls had blocked. The semiconductor sleeve was built for this moment. Research Reveals Opportunities.

Geopolitics

TRUMP-XI AGREE HORMUZ MUST BE OPEN — IRAN IMMEDIATELY LETS CHINESE SHIPS THROUGH

The most consequential geopolitical development of the week: Trump and Xi agreed during their Beijing summit that the Strait of Hormuz must be open for the free flow of energy. Iran's response was immediate: Reuters, citing Iran's semi-official Fars News, reported that approximately 30 vessels transited the Strait on Wednesday night following requests from China's foreign minister and ambassador to Iran. Iran's Foreign Minister Araghchi stated the Strait is open to all commercial vessels provided they cooperate with Iranian naval forces. The concession is significant because it signals that China's leverage over Tehran exceeds Washington's: weeks of US military operations (Operation Project Freedom, the naval blockade) produced marginal transit improvements, while a single Chinese diplomatic request opened the waterway to 30 vessels in one night. For oil markets, the Chinese-mediated Hormuz opening could structurally reduce the supply disruption premium if sustained—Brent fell 1.83% on Wednesday.

THE CHIP EXPORT THAW — NVIDIA H200S APPROVED FOR ALIBABA AND TENCENT

The US approved the sale of Nvidia H200 AI chips to multiple Chinese companies including Alibaba and Tencent, per Bloomberg. The approval, announced during the Trump-Xi summit, represents a significant relaxation of the export control regime that had constrained AI chip sales to China since 2023. For IOWN's semiconductor sleeve, the implications cascade through the supply chain: NVDA gains a

reopened \$50+ billion addressable market, TSM benefits from increased fab utilization for AI-grade silicon, MRVL and CRDO see expanded demand for the networking and interconnect layers that support the Chinese cloud build-out, and QCOM gains access to the mobile AI inference market in China. The Xi summit has effectively created a diplomatic trade: China helps mediate Hormuz reopening; the US relaxes chip export controls. Both sides gain. The semiconductor sleeve is the direct beneficiary of this framework.

Trump-Xi Agreed Hormuz must be open · Beijing summit ongoing
 NVDA Chip Sales H200 approved for Alibaba, Tencent, others
 Iran-China 30 vessels transited Hormuz Wed night
 CEOs on Trip Musk, Cook, Fink, Huang, QCOM, GS, Meta, Micron
 Xi to CEOs China will "open wider" to American business

On Our Radar

1. The chip export thaw is the most significant catalyst for the semiconductor sleeve since GTC. If sustained and if Chinese firms proceed with purchases despite Beijing's reported preference for domestic alternatives, the approval could reopen a market that Nvidia has estimated at \$50+ billion annually. IOWN's semi sleeve—AMD, NVDA, TSM, MRVL, CRDO, NXPI, KEYS, ADI—captures both the design layer (AMD, NVDA) and the manufacturing/networking layer (TSM, MRVL, CRDO) of the AI build-out. The question is whether the thaw persists beyond the summit or becomes leverage in future negotiations. *Think Like an Owner.*

2. The breadth divergence warrants attention even at ATH. Fear & Greed dropping from 48 to 34 while the S&P hits records suggests the advance is narrowing to tech. Only five of eleven sectors closed positive Wednesday. Financials, utilities, and real estate all declined. The dividend sleeve's defensive names may face near-term pressure in a narrow tech-led tape, but their role as downside protection remains intact if the breadth divergence resolves lower. *Avoid Erosion.*

3. China-mediated Hormuz reopening could structurally change the oil supply outlook. If China can sustain its leverage over Iran to keep the Strait open for commercial traffic, the war's energy disruption becomes a diplomatic issue rather than a physical blockade. Brent fell 1.83% Wednesday. The energy sleeve (CVX, VLO, OKE, CTRA, CNX) faces compression risk if Chinese mediation proves durable, though structural damage to Asaluyeh and Gulf smelters maintains elevated baseline pricing. **Simplicity Over Complexity.**

4. Cisco and Applied Materials earnings are today's catalysts. Cisco surged in premarket after results; AMAT is a key equipment read for the semiconductor cycle. Alibaba's results, expected this week, will be the first test of whether the chip export thaw translates to immediate Chinese AI infrastructure spending. The Q1 earnings cycle has been the strongest in years, and the Beijing summit adds a demand catalyst that was not in the market's base case two weeks ago. *Research Reveals Opportunities.*

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